Fischer Black & Robert Litterman

Financial economists · Bayesian asset allocation

Fischer Black 1938–1995; Robert Litterman b. 1951 · developed their model at Goldman Sachs.

> *"Start from the market, then add your views."*

THE WHY THAT DROVE THE WORK

They sought to fix the extreme, unstable portfolios that pure mean-variance optimisation produces when fed noisy return estimates.

INTELLECTUAL FOUNDATION

At Goldman Sachs in the early 1990s, they combined market-equilibrium returns with investor views in a Bayesian framework.

FRAMEWORKS ANCHORED IN THIS COURSE

They anchor the Black-Litterman Model in Unit 6's investment-foundations Slibrary.

HOW THE IDEAS OPERATIONALISE

The model operationalises as starting from market-implied returns and tilting toward an investor's views in proportion to confidence.

LIMITATIONS & CRITIQUE

It still requires subjective inputs — views and confidence levels — and inherits the assumptions of the underlying equilibrium model.

ENDURING IMPACT

Black-Litterman became a standard tool in institutional asset allocation and a principled way to incorporate active views, including AI-generated signals.

ON THE SAME PANEL (UNIT 6)

- **Harry Markowitz** · Giant 24
- **Eugene Fama & Kenneth French** · Giant 26
- **Marcos López de Prado** · Giant 27
- **Agrawal, Gans & Goldfarb** · Giant 28

SOURCES (HARVARD REFERENCING STYLE)

Black, F. and Litterman, R. (1992) 'Global portfolio optimization', Financial Analysts Journal, 48(5).

He, G. and Litterman, R. (1999) 'The intuition behind Black-Litterman model portfolios', Goldman Sachs.